

Fearnleys Dry Bulk Weekly

Dec 11, 2024

Bernhard Baardson

Capesize/Newcastlemax

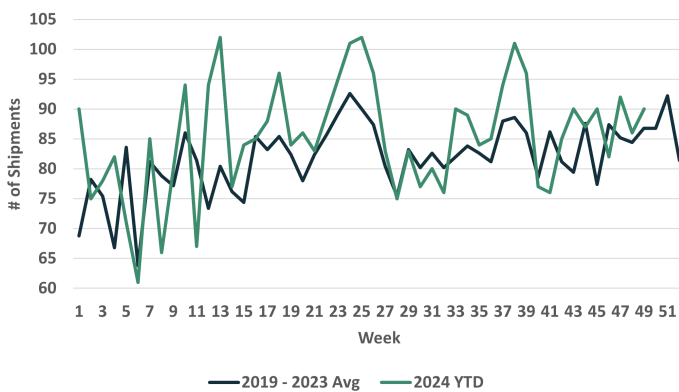
Last week, we wrote the following:

*In December, the market either trends down or gets a late-month push due to the seasonal increase in Australian exports to China. We are unsure how it will develop this year, but it is clear that fundamentals are weak, so an eventual rally will not likely be major.

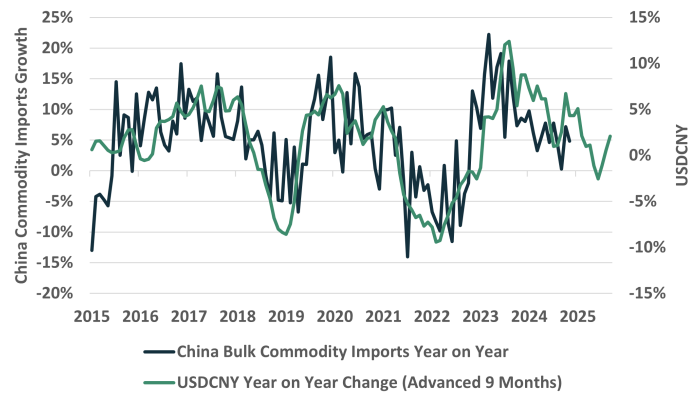
According to Platts, China will hold its Central Economic Working Conference next week, setting China's economic goals for 2025, including GDP growth and the fiscal deficit ratio."

More announcements have come since last week regarding China's stimulus measures. The most important one was a statement from the PBOC suggesting they might allow the currency to weaken next year. Our previous two monthly reports covered why the USDCNY is an important factor for dry bulk markets. Regarding spot markets, we do not see any sign of a late-year bounce, so most likely the markets will continue falling into January.

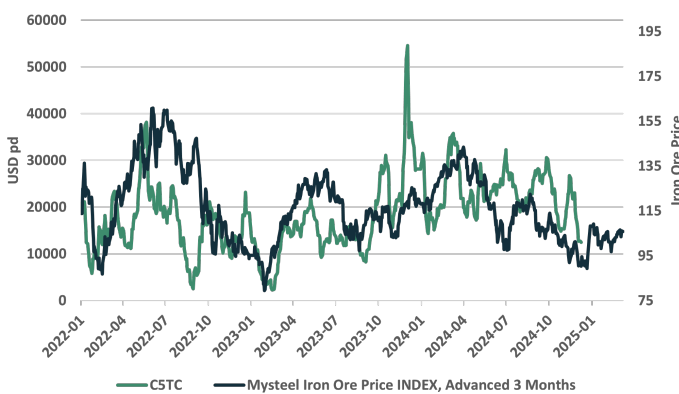
Australia Iron Ore Export Seasonality



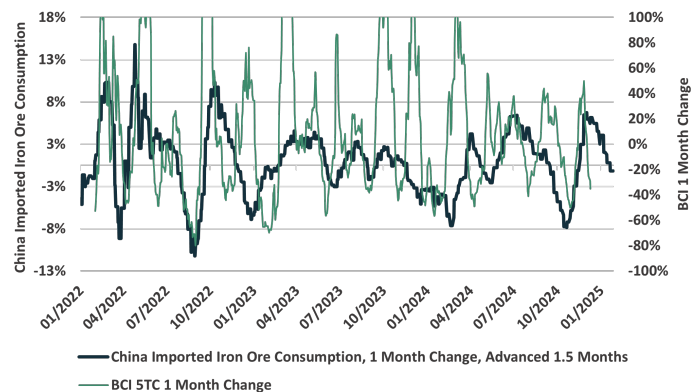
China Bulk Commodity Imports Year on Year vs USDCNY Year on Year, 9 Months Lead



Iron Ore Price Lead vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC 1 Month Change

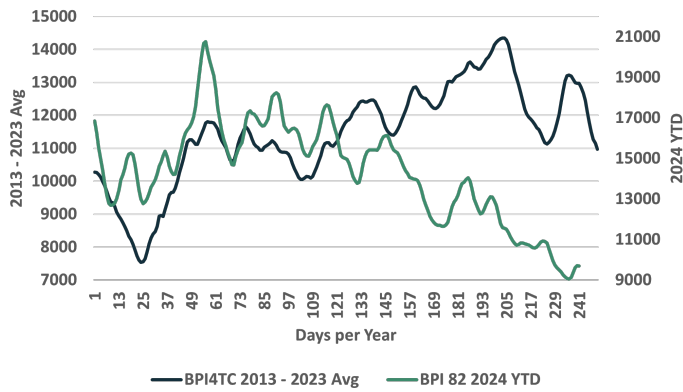


Panamax/Kamsarmax

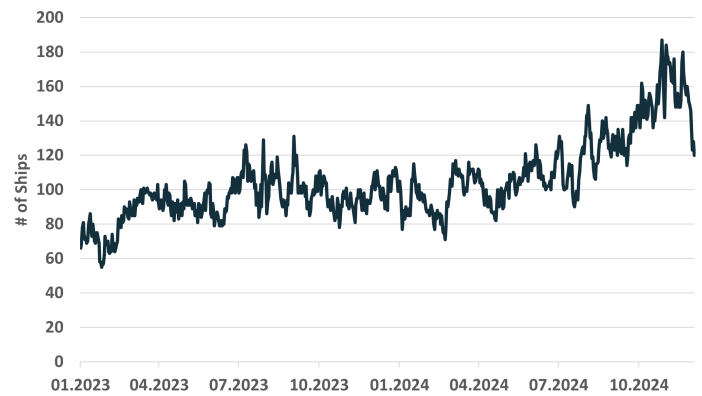
We are seeing a bit better tonnage balance both in the Atlantic and the Pacific. However, it's all relative, as the fundamental backdrop remains weak. China's coal import market is weighed down by higher than normal temperatures and record-high inventories. The latter point poses a risk to fundamentals next year.

The South American grain season is at a low point, and there should be a few more weeks before vessel requirements start increasing. The US grain season peaked one month ago, with a significant drop in the count of vessels heading there since then.

Panamax / Kamsarmax Market Seasonality



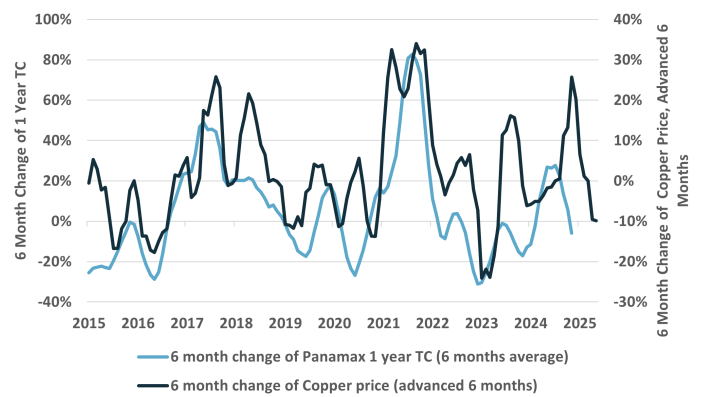
Panamax / Kamsarmax Laden With Coal to China



Panamax / Kamsarmax Laden With Soybeans to China



Copper Price Lead vs Kamsarmax 1 Year TC Change

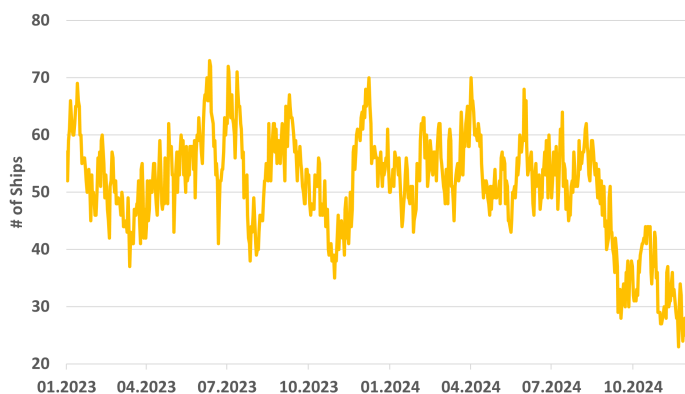


Supramax/Ultramax

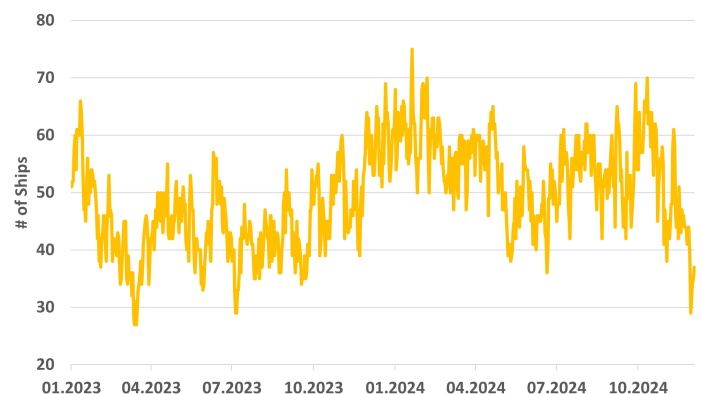
The market has found some stability in the last weeks, during a seasonal period where there often is a bounce. The tonnage balance is slightly tighter in the Pacific, and we also see some relative improvement in the USG and South America. The continent and med remain weak spots, however.

Going forward, we reiterate our view given last week, that sideways to slightly down is the most likely trajectory going forward.

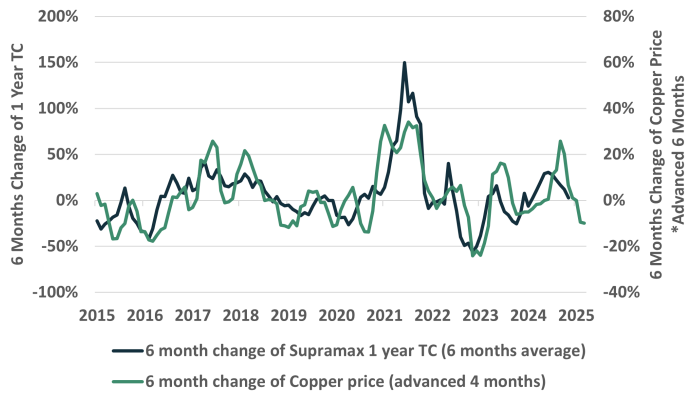
Supramax / Ultramax Heading to Brazil



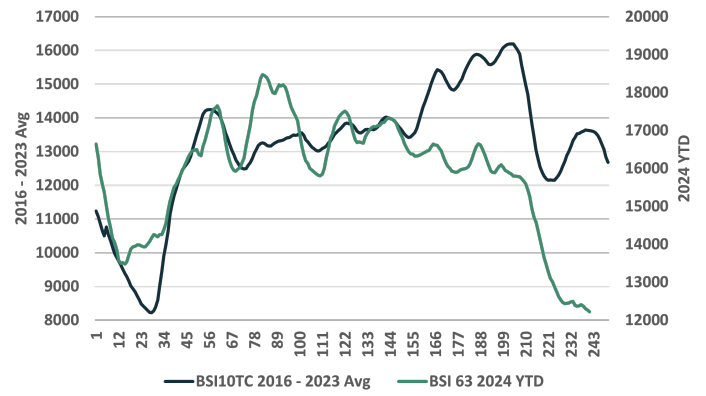
Supramax / Ultramax Heading to the US



Copper Price Lead vs Supramax 1 Year TC 6 Months Change



Supramax / Ultramax Seasonal Average





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